
ECONOMICS

Paper 4 A Level Data Response and Essays

Practice Paper 2026

2 hours

(Moderate Level)

You must answer on the enclosed answer booklet.

You will need: Answer booklet (enclosed)

INSTRUCTIONS

- Answer **three** questions in total:
 - Section A: answer Question 1.
 - Section B: answer **one** question.
 - Section C: answer **one** question.
- Follow the instructions on the front cover of the answer booklet. If you need additional answer paper, ask the invigilator for a continuation booklet.
- You may use a calculator.
- You may answer with reference to any economy you have studied where relevant to the question.

INFORMATION

- The total mark for this paper is 60.
- The number of marks for each question or part question is shown in brackets [].

Section A

Answer all parts of Question 1.

1 The Manufacturing Sector in Vietnam

Between 2010 and 2022, Vietnam's GDP, measured at constant prices (2015), rose from \$160 billion to \$362 billion. Over the same period, GDP per capita increased from \$1684 to \$3694. Manufacturing now accounts for approximately 25% of Vietnam's GDP, compared with 13% in 2010.

Vietnam's economic transformation has been driven largely by foreign direct investment (FDI). Inflows of FDI rose from \$8 billion in 2010 to \$22 billion in 2022. Major multinational electronics firms such as Samsung, Intel and LG have built large production plants in Vietnam, attracted by relatively low labour costs and favourable government tax policies. The Vietnamese government has offered preferential corporate tax rates of 10% (compared with the standard rate of 20%) to high-technology firms locating in designated industrial zones.

The manufacturing sector employs around 11 million workers, with average monthly wages in manufacturing rising from \$150 in 2010 to \$320 in 2022. However, wage rates in Vietnam remain roughly one-third of those in neighbouring China. The textile and garment industry consists of over 6000 firms, most of which are small or medium-sized enterprises competing for orders from international clothing brands. By contrast, the electronics assembly sector is dominated by fewer than ten large multinational firms.

The rapid expansion of manufacturing has produced both gains and costs. Urbanisation has accelerated, with the urban population rising from 30% in 2010 to 38% in 2022. Air pollution in Hanoi and Ho Chi Minh City frequently exceeds World Health Organization safety thresholds. Industrial waste discharged into rivers has affected freshwater fish stocks. At the same time, the proportion of the population living below the international poverty line fell from 16.8% to under 5%, and life expectancy increased from 74 to 76 years.

Table 1.1: Selected economic indicators for Vietnam

Indicator	2010	2016	2022
Real GDP (\$ billion, 2015 prices)	160	230	362
Real GDP per capita (\$, 2015 prices)	1684	2528	3694
FDI inflows (\$ billion)	8.0	12.6	22.0
Manufacturing (% of GDP)	13	17	25
Exports of goods (% of GDP)	62	75	93
Population below poverty line (%)	16.8	9.8	4.8

Sources: World Bank Development Indicators, 2023; General Statistics Office of Vietnam, 2023; UNCTAD World Investment Report, 2023

- (a) Explain the significance of measuring GDP per capita to assess living standards. [3]
- (b) Explain one possible benefit of foreign direct investment to a host country and one possible cost of foreign direct investment to a host country. [4]
- (c) Describe how the market structure of the textile and garment industry in Vietnam is likely to differ from the market structure of the electronics assembly sector. [6]
- (d) Use the article to evaluate the impact of the growth of the manufacturing sector on the standard of living in Vietnam. [7]

Section B

Answer one question.

EITHER

- 2** Air pollution from factory production causes harm to local communities.

Evaluate, with the help of diagram(s), two policies that a government may use to reduce the market failure caused by negative production externalities. **[20]**

OR

- 3** A pharmaceutical company is the sole supplier of a life-saving medicine in its country.

Assess whether the existence of a monopoly is always against the interests of consumers. **[20]**

Section C

Answer one question.

EITHER

4 Evaluate the use of fiscal policy as a means of achieving the macroeconomic aims of a country. **[20]**

OR

5 Evaluate whether economic growth is always desirable for a country. **[20]**